📘 XAU/USD Quick Guide: Understanding Gold in Forex Trading

🔹 What Is XAU/USD?

- **XAU** = Symbol for gold (per troy ounce)
- **USD** = U.S. Dollar
- **XAU/USD** = The value of gold priced in U.S. dollars

Example: If XAU/USD = 1950.00 → 1 ounce of gold = $1,950 USD

🔹 Why Trade Gold (XAU/USD)?

✅ **5,000+ years** of value – Gold is trusted across history
✅ **Crisis-proof** – Gold rises when markets crash (e.g., 2008, 2020)
✅ **Safe haven** – Used by banks, hedge funds, and governments
✅ **Digital access** – Trade gold in forex without holding physical bars
✅ **24/5 trading** – Market is open 24 hours, 5 days a week

🔹 Why Gold vs. USD?

- The **U.S. Dollar** is the world's reserve currency
- Gold often moves **inversely** to USD
- Big market news (interest rates, inflation, war, etc.) impacts both gold and USD—creating opportunities for smart traders

🔹 What Are Pips and Points?

📍 **Pip (Percentage in Point):**

- XAU/USD is quoted to **two decimal places**
- **1 pip = 0.01**

Example: 1950.00 → 1950.01 = 1 pip

📍 **Point:**

- A **point** = 1.00 move in price = **100 pips**

  Example: 1950.00 → 1951.00 = 1 point = 100 pips

🔹 Example Breakdown

Price Move	Pip Change	Point Change
1950.00 → 1950.10	10 pips	0.1 points
1950.00 → 1953.00	300 pips	3 points

🔹 Profit Example (Based on Lot Size)

- **0.10 lot**: 1 pip ≈ $1
- **1.00 lot**: 1 pip ≈ $10

  Trade gains 100 pips at 1.00 lot → $1,000 profit
  Trade loses 50 pips at 1.00 lot → $500 loss

💡 *The same math applies in reverse—so proper risk management is crucial.*

🔹 Why This Matters

✅ Pips = Track small moves, perfect for entries, exits, & stop-loss
✅ Points = Understand bigger trends
✅ Precision = Smarter trading decisions
✅ Confidence = No more guessing—trade with structure